216 Pre-LOI/Pre-Closing Strategies

Green Highlighted Items are Pre-LOI/Pre-Closing Strategies
Yellow Highlighted Items are Both
Blue Higlighted Items are Post-Closing Strategies

Note, for you to fully understand these strategies, you should watch them and take notes in conjunction with the 3 videos in your Kajabi portal where I explained each of these in detail.

1. Asset Carveouts
2. Instant Earn-In (Equity right now upon doing the deal)
3. Temporal Milestone Earn-In (equity vests on completion of time spent on deal)
4. Event Milestone Earn-In (equity vests on completion of certain events)
5. Revenue Segment Milestone Earn-In (equity vests on attainment of certain revenue goals in a segment of the business you are responsible for)
6. Profit Segment Milestone Earn-In (equity vests on attainment of certain profit goals in a segment of the business you are responsible for)
7. Revenue Company-wide Milestone Earn-In (equity vests on attainment of certain revenue goals for the entire business)
8. Profit Company-wide Milestone Earn-In (equity vests on attainment of certain profit goals for the entire business)
9. Sweat Equity – OBJECTIVE BASED
10. Co-Investors
11. Pipe Wrench
12. Rev Share Pre-Sale Tests – Run a promotion of your product or service to the company's list on a 50/50 revenue share basis to determine whether

there is demand for your existing company's products or services and apply your 50% share to the down payment to acquire the company (Benefit = funding source + tax shift)

13. 3rd Party Rev Share Pre-Sale Tests – Run a promotion of a 3rd party's product or service to the company's list on a 50/50 revenue share basis to determine whether there is demand for a particular product or service you or your company do not currently provide but would like to add for growth to the target company's offerings and take a "toll gate" fee for doing this (usually 25% from company and 25% from product/service owner/provider). Apply your share to down payment to provide funding plus shift taxes.

14. FMV Based 100% Consign Non-Inventory, Non-Essential Assets – Any assets you plan to sell post-closing are carved out of the purchase price, but you commit to selling them and then paying the proceeds to the seller upon liquidation for credit of total amount of sale against purchase price.

15. FMV + Fee Based Consign Non-Inventory, Non-Essential Assets – Any assets you plan to sell post-closing are carved out of the purchase price, but you commit to selling them and then paying the proceeds to the seller upon liquidation for credit of total amount of sale against purchase price, less a % fee for conducting the sale that the seller would have otherwise have to have conducted but did not want to.

16. Fixed Value Based 100% Consign Non-Inventory, Non-Essential Assets – Any assets you plan to sell post-closing are carved out of the purchase price, but you commit to selling them and then paying a pre-agreed upon fixed price to the seller upon liquidation for credit of total amount of sale against purchase price. If you sell the asset for more than the fixed fee, you keep the difference. If you sell for less, you make up the difference.

17. Lease Option on Total Business – You pay a monthly, quarterly, annual fee to take over and operate the business and have an option to purchase it for a pre-agreed upon price at the end of or prior to the end of the option.

18. Lease Purchase - You pay a monthly, quarterly, annual fee to take over and operate the business and have a contractual obligation to purchase it for a pre-agreed upon price at the end of or prior to the end of the lease.

19. Private Lender (Hard Money Loans Against Hard Assets)

20. Sell & Stock Back + Call (Acquire 100%, Then Sell Back Stock To Seller With Call Option)

21. Sell & Stock Back + Put/Call (Acquire 100%, Then Sell Back Stock to Seller With Cross-Put/Call Options)

22. Sell & Stock Back + Put (Acquire 100%, Then Sell Back Stock to Seller With Put Option)

23. Seller Consulting to Offset Purchase Price (Fee-Based)

24. Seller Consulting to Offset Purchase Price (Performance Based)

25. Seller Consulting to Offset Purchase Price (Blended Formula)

26. Non-Competing Equity Split #1 (3rd Party Provides 100% of Funds + Acquires at Your Purchase Price)

27. Non-Competing Equity Split #2 (3rd Party Provides 100% of Funds + Acquires At FMV)

28. Non-Competing Equity Split #3 (3rd Party Provides Other Assets or Resources)

29. Non-Competing Equity Split #4 (3rd Party Provides Funds + Assets/Resources)

30. Seller Loan + Wrap: You wrap the seller's existing personal loans and wrap them into a new promissory note with seller from your SVP to avoid any potential due on sale clause issues.

31. Outside Integrator Investor invests cash or assets and comes in to operate the company

32. Internal Integrator Investor invests cash or assets and comes in to operate the company

33. Short Term Note Payable is used as your down payment

34. You provide assets for Seller to hold for short term as down payment to be replaced by cash within 30, 60, 90 days of closing

35. Seller Subordinates Seller's carryback financing to another lender who will have first position (Seller has a 2nd)

36. Employee (Non-Integrator Level) Investor invests cash or assets into the business which you then use towards the purchase price to pay Seller

37. 1099 Investor (Contractors to the business invest) invests cash or assets into the business which you then use towards the purchase price to pay Seller

38. 3rd Party Hypothecation: 3rd Party places collateral with a bank or other lender in exchange for the lender making the loan to your SPV.

39. Credit Card Used to Buy Something Seller Wants To Reduce Down Payment (Rolex watches deal)

40. Advisor Loan (Company Existing Advisor Makes Loan) to be repaid from the business's operations with loan proceeds used to pay seller down payment or financing

41. Advisory Board + Loan (New Advisory Board With Lender/Advisor(s)) who make loan to the company to be repaid from the business's operations with loan proceeds used to pay seller down payment or financing

42. Existing Advisor Investment with proceeds used to pay the down payment to the seller or seller financing

43. Board Member loan (Company existing board member makes a loan) to the company to be repaid from the business's operations with loan proceeds used to pay seller down payment or financing

44. Existing Board Member Investment in the company with proceeds used to pay seller down payment or financing

45. Board of Directors + Loan (Lender/Board Member(s) make loan to the company upon setting up a new board of directors) tto be repaid from the business's operations with loan proceeds used to pay seller down payment or financing

46. Staggered Tranches PPM

47. Reverse Wholesale (contract option to acquire company and then sell it to a 3rd party buyer during the option/due diligence period)

48. Deferred Payment + Liquidate (Negotiate a deferred payment with seller and liquidate all assets to pay off seller loan before it comes due)

49. Gross Cashflow Assign Down Payment (Assign some portion of the existing target business's <u>gross</u> cash receipts to seller to pay part or all of the down payment or seller financing)

50. Net Sales Cashflow Assign Down Payment (Assign some portion of the existing target business's <u>Net Sales</u> cash receipts to seller to pay part of all of the down payment or seller financing) This has the benefit of taking margin into account after refunds/chargebacks, etc.

51. Gross Margin Cashflow Assign Down Payment (Assign some portion of the existing target business's <u>Gross Margin</u> cash receipts to seller to pay part of all of the down payment or seller financing) This has the benefit of taking COGS margin into account after refunds/chargebacks, etc.

52. Credit Card Down Payment: Purchase Product on Merchant Account From Seller Prior To Close With Seller Receiving Cash from Transaction

53. Take ownership of the business at closing while taking on Seller's Debt on a Subject-To basis. This is not a formal assumption of the Seller's debt.

54. Take Seller's Debt with a Debt Wrap

55. Assume part of the target acquisition's Debt

56. Assume all of the target acquisition’s Debt

57. Assume some or all of Seller’s personal Debt

58. Seller Inventory Consignment: Deduct cost or FMV of target company’s inventory from purchase price and pay seller as it sells

59. Tax Assumption: Assume tax liabilities of target acquisition

60. Double Escrow: Close the sale on the acquisition and then immediately resell at a profit to another buyer directly after the first escrow closes.

61. Defer Close 4DCM: Take over running the business but defer the actual closing for a short period of time. Then, run a 4 Day Cash Machine to provide purchase price or down payment funding for the closing.

62. Defer Close + Sale: Take over running the business but defer the actual closing for a short period of time. Then, run a sale to provide purchase price or down payment funding for the closing.

63. W/C Adjustment

64. Opportunity Zone

65. 2nd TD NP as DP

66. Alt Lender

67. SBA 504

68. SBA 7A

69. 7A Express

70. SBA Export

71. SBA Micro

72. SBA Disaster

73. SBA EIDL

74. SBA PPP

75. SBA CAPLINE

76. Short Term Note Payable for Down Payment

77. Barter

78. 3P Barter

79. Refillable Seller Holdback Applied To Down Payment

80. Seller Holdback Applied To Down Payment With Countering Note Payable

81. Seller Holdback Applied To Down Payment

82. Owner Carry Without Note Payable, No Interest + Balloon

83. Owner Carry: Unsecured Note Payable, No Interest + Balloon

84. Owner Carry: Secured Note Payable, No Interest + Balloon

85. Owner Carry: Unsecured Note Payable, Interest Only + Balloon

86. Owner Carry: Unsecured Note Payable No Interest Straight Amortization

87. Owner Carry: Secured Note Payable, With Interest Straight Amortization

88. 3rd Party Personal Guaranty Loan

89. Cash Release To Seller At Closing

90. Accounts Receivable Offset

91. 3rd Party Co-Signer For Loan

92. 3rd Party Gets Loan In Exchange For Equity

93. Seller Co-signs Loan

94. Seller Pledges Assets For Loan

95. Credit Card Advance

96. Credit Card Round Robin

97. Bank Loan Round Robin

98. Seller Non-Compete Geo Abatement For Purchase Price Reduction

99. Seller Non-Compete Vertical Abatement For Purchase Price Reduction

100. 100% Promos: Test Promotion To Seller's List & Apply 100% of Proceeds To DP or PP

101. IRA Loan from Personal IRA

102. IRA ROBS (Roll-Over As Business Start-up)

103. Seller IP Royalty

104. Seller IP License

105. Seller Unit Royalty

106. Back-up Loan from 3rd Party

107. Real Estate Split-Off

108. Barter Arbitrage Acquire Low and Trade To Seller For Higher Value

109. Reverse Merger

110. 3rd Party "Franchise" Sale

111. Jay's Car Deal: Pre-Sell Inventory/Services/Asset Use

112. Business Broker/Investment Banker Loan From Commission

113. Business Broker/Investment Banker Investment For Equity

114. Fractional Rights

115. Post-date check

116. Vendor Co-sign

117. Money Broker

118. DDP (Deferred Down Payment)

119. LBO (Leveraged Buyout)

120. MBO (Management Buyout)

121. SLiP (Self-Liquidating Payment) The Business Pays For 100% Of Its Acquisition Costs

122. PPM (Private Placement Memorandum)

123. Angel Investor(s)

124. Straight Merger (You merge the target company into your company) For Stock

125. Straight Merger for Stock + Cash

126. SPV Asset Merger (You merge the Target company into your SPV and add assets)

127. SPV Equity Merger (You merge the Target company into your SPV and add stock/equity)

128. Straight Partial Acquisition (Acquire part of the Seller's Business)

129. 2-Step Partial Acquisition (Acquire part of Seller's Business + Option For Remainder)

130. Roll-in

131. Partial-Option To Acquire From Seller

132. Full-Option to Acquire From Seller

133. Straight Baseline

134. Disappearing Baseline with Option

135. HELOC (Home Equity Line of Credit)

136. Margin Loan Against Securities Held

137. Sublease-Back Space to Seller

138. Earnout

139. Toll-Gate (You middle the connection of Buyer and Seller and Receive Equity)

140. Opportunity Zone Financing

141. Compensating Balances Arrangement

142. Asset Swaps

143. Stock Swaps

144. Sponsorship Sale

145. Intellectual Property Sale

146. Sublease Space to 3rd Party

147. Train-In (Sell Look Over My Shoulder Training To An Apprentice Who Wants To Learn M&A)

148. RE SLB (Real Estate Sale and Leaseback)

149. Landlord Rent Deferral For Set Period of Time

150. Landlord Abate and Add Strategy

151. Customer Accounts Receivable Debtors Are Offered Early Payment Discount

152. 3rd Party Vendor Prepayments in exchange for discount of amount due

153. Discounts to recurring payment (MRR/ARR) customers to buy sooner or in bulk

154. Offer Lifetime memberships to recurring revenue services or products

155. Seller Trash to Cash: Identify “Hidden Assets” Seller Does Not Value + Sell To Fund Purchase (Tires Deal/Sawdust deal)

156. Media Financing

157. Media Revenue Share (Radio Stations Deal)

158. Consolidate Debt

159. Debt Restructure

160. Debt Reduction

161. FFE Liquidate

162. FFE SLB

163. FFE Finance

164. P.O. Finance

165. Raw Mat Finance

166. Container Finance

167. Inventory Finance

168. Return Inventory

169. Supplier Invests

170. Supplier Loan

171. Supplier Terms

172. Supplier Consignment

173. Landlord Deposit Release

174. Landlord Deposit Reduction

175. CC Reserve Release

176. Letter of Credit Drawdown on target company’s credit

177. Life Insurance Loan

178. Close + Delay AP

179. Close + Defer AP

180. PMN (Private Money Note)

181. Work-In Process Financing

182. Real Estate Refinance

183. 3rd Party Rent Discount

184. Government Grants

185. Private Company/Organization Grants

186. Debt Into Equity Swap With Creditor(s)

187. Inventory Into Equity Swap With Supplier

188. Inventory Into Equity Swap With Manufacturer

189. Inventory Into Equity Swap With Wholesaler

190. Inventory Pre-purchase By Distributor Into Equity

191. Non-Inventory Supplier Equity Swap

192. Apply the Target’s Line of Credit to Acquisition Funding Requirements

193. Switch-Incentive With Suppliers: They Pay You NOT To Switch

194. Supplier Pipe Wrench: Agreement Not To Compete

195. No-Switch Incentive Fee

196. Sell Overstock At Discount To Provide Acquisition Funding

197. Seller Overstock To Provide Debt Retirement On Seller Finance

198. Sell Overstock To Provide Debt Retirement On 3rd Party Debt

199. Mezzanine Financing

200. Crowdfunding for amounts <$5M

201. Sell New Ad Space (Ads that you have not sold before in various owned media)

202. Pre-Sell Ad Space in Existing Owned Media

203. Debt Double Tap (Agree on Financed Amount and Negotiate Down When You Can Pay)

204. Bank Guaranty

205. Vendor Co-op Ad

206. Roll-up

207. Real Estate New Loan

208. Real Estate Refi of Existing Loan

209. Accounts Receivable Recourse Loan

210. Accounts Receivable Non-Recourse Sale

211. Spindle (Sell Owned Manufacturing Line Time To 3rd Party)

212. Spindle Time (Sell Contracted Manufacturing Time to 3rd Party)

213. ESOP (Employee Stock Option Plan) Buyout

214. RBF (Revenue Based Financing) e.g. Lighter

215. MBF (Merchant Based Financing) e.g. Amex

216. EB5 Visa Financing